Strategic Analysis Series
UK Companies 2024

BP

Strategic Analysis Report 2024

Comprehensive Business & IT Infrastructure Assessment
Including Detailed Technology Investment Breakdown

Company: BP p.l.c.

Headquarters: London, United Kingdom

Sector: Integrated Energy

Analysis Date: January 2026

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1. Executive Summary

BP p.l.c. stands as one of the world's largest integrated energy companies, with operations spanning Europe, North and South America, Australasia, Asia, and Africa. Following a strategic reset, BP is fundamentally reshaping its business model to deliver long-term shareholder value through the energy transition, with technology and digital innovation serving as critical enablers of this transformation.

$189.2B

Sales & Operating Revenues 2024

$27.3B

Operating Cash Flow

100,500

Employees Globally

Key Technology Investment Highlights

BP has invested approximately **$240 million** in its comprehensive cloud transformation program (2017-2020), achieving **$90 million** in annual infrastructure cost reductions (35% savings). The company allocates roughly **$1.5 billion annually** to innovation and engineering, with approximately 40% of its digital estate now operating in the cloud following the strategic closure of two mega data centers.

BP's strategy centers on three pillars: **growing the upstream** through high-return oil and gas operations, **focusing the downstream** on value-accretive refining and marketing activities, and **investing with discipline in transition** toward low-carbon energy solutions. Technology underpins each pillar, with digital transformation enabling operational efficiency, cost reduction, and new business model development.

2. Company Overview

2.1 Business Model & Segments

BP operates as a fully integrated energy company with three primary business groups, each enabled by supply, trading & shipping capabilities and supported by five corporate functions: finance; technology; strategy, sustainability & ventures; people, culture & communications; and legal.

Table 1 BP Business Segments & Operations

Business Group	Primary Activities	2024 CapEx ($M)
Gas & Low Carbon Energy	Natural gas, power trading, wind, solar, hydrogen, carbon capture and storage	$5,211
Oil Production & Operations	Upstream activities predominantly producing crude oil, including bpx energy	$6,198
Customers & Products	Refining, marketing, retail sites, convenience stores, electric vehicle charging	$4,420
Other Businesses & Corporate	Corporate functions, technology, shared services	$408

2.2 Strategic Framework

BP's reset strategy plays to the company's distinctive strengths and capabilities, with technology serving as a foundational enabler across all strategic pillars:

- **Growing the Upstream:** Focusing capital on highest-return oil and gas operations, leveraging digital technologies for enhanced reservoir characterization, predictive maintenance, and operational efficiency
- **Focusing the Downstream:** Optimizing refining and marketing operations through advanced analytics, automation, and customer digitalization

- **Investing with Discipline in Transition:** Building low-carbon businesses enabled by digital platforms, smart grid technologies, and energy management systems

Distinctive Capabilities

BP's competitive advantage rests on three pillars: **trading expertise** across global energy markets, **technology leadership** in digital transformation and engineering innovation, and **strategic partnerships** that accelerate growth and market access. The company employs approximately **11,600 engineers** and holds **2,200 granted and pending patent applications**.

3. Financial Performance 2024

3.1 Revenue & Profitability

BP delivered solid financial performance in 2024 despite challenging market conditions, with strong cash generation and disciplined capital allocation supporting shareholder returns and strategic investments.

Table 2 BP Financial Performance Summary ($ Million)

Metric	2024	2023	2022
Sales & Other Operating Revenues	$189,185	$210,130	$241,392
Profit Before Interest & Tax	$11,297	$27,348	$18,039
Underlying RC Profit	$8,915	$13,836	$27,653
Operating Cash Flow	$27,300	$32,000	$40,800
Adjusted EBITDA	$38,012	$43,710	$50,747
Profit Attributable to Shareholders	$381	$15,239	($2,487)

BP achieved **$0.8 billion** in structural cost reduction during 2024, with underlying operating expenditure of **$22.6 billion** representing a $307 million reduction relative to 2023. The company's return on average capital employed (ROACE) reached 14.2% in 2024.

3.2 Capital Allocation

Total capital expenditure in 2024 was **$16.2 billion**, allocated strategically across business segments and geographic regions to maximize long-term value creation.

Table 3 Capital Expenditure by Geographic Region ($ Million)

Region	2024	2023	Primary Focus
United States	$6,566	$8,105	bpx energy, refining, low carbon
Non-US Operations	$9,671	$8,148	Upstream, gas, renewables
Total	$16,237	$16,253	-

BP returned **$7 billion** to shareholders through share buybacks in 2024, complemented by a 10% increase in dividend per ordinary share. The company targets 30-40% of operating cash flow for total shareholder distributions.

4. IT Infrastructure & Digital Transformation

4.1 Technology Investment Overview

BP's technology strategy is integral to its competitive positioning and operational excellence. The company invests approximately **$1.5 billion gross annually** in innovation and engineering, with roughly half allocated to operating its digital estate and the remainder split between capital and revenue expenditure in R&D, digital systems, venture capital, and new business development.

$1.5B

Annual Innovation & Engineering Investment

$301M

Research & Development 2024

40%

Digital Estate in Cloud

The company's digital security team assesses approximately **5 billion events per day** to protect BP's infrastructure, with security incidents remaining very low despite increasing threat volumes. This cybersecurity investment is critical given BP's operational technology (OT) exposure across global energy infrastructure.

4.2 IT Spending by Category

BP's technology expenditure spans five major categories, reflecting a comprehensive approach to digital infrastructure, enterprise applications, and workforce enablement. The following breakdown is estimated based on disclosed transformation costs, industry benchmarks, and BP's operational scale.

Cloud Infrastructure

~$350M

Multi-cloud strategy across Azure (primary), AWS, and Google Cloud Platform. Includes IaaS, PaaS, and SaaS subscriptions supporting 900+ migrated applications.

Data Center Operations

~$200M

Remaining on-premises infrastructure across 6 mega data centers (reduced from 8). Includes server hosting, storage, networking, and facility costs.

Networking & Communications

~$180M

Global WAN connectivity, SD-WAN implementation, satellite communications for offshore operations, and unified communications platforms.

Enterprise Software

~$280M

ERP systems (SAP), engineering software, geoscience applications, trading platforms, cybersecurity tools, and productivity software licensing.

End-User Computing

~$120M

Desktop PCs, laptops, mobile devices, printers, collaboration tools (Microsoft 365), and user support services across 100,500+ employees.

IT Services & Consulting

~$170M

Third-party implementation partners, systems integration, managed services, training & upskilling, and strategic technology consulting.

Table 4 Detailed IT Spending Breakdown by Category

Category	Estimated Annual Spend	% of IT Budget	Key Components
Cloud Infrastructure	$350M	25%	Azure, AWS, GCP, IaaS, PaaS, SaaS
Enterprise Software	$280M	20%	SAP, Oracle, Engineering Apps, Security
Data Center Operations	$200M	14%	6 Mega DCs, Servers, Storage, Facilities
IT Services & Consulting	$170M	12%	Implementation, Integration, Training
Networking & Communications	$180M	13%	WAN, SD-WAN, Satellite, Unified Comms
End-User Computing	$120M	9%	Devices, M365, Support, Collaboration
Other Technology	$100M	7%	Emerging Tech, R&D IT, Innovation

4.3 Regional IT Expenditure

BP's global operations necessitate significant technology investment across all regions, with spending patterns aligned to operational footprint, regulatory requirements, and digital transformation priorities. The following regional breakdown reflects capital allocation and operational technology spend by geography.

Americas

~$450M

Covers US, Canada, Latin America operations. High cloud adoption, bpx energy digitalization, retail technology.

Europe

~$380M

UK headquarters, refining operations, trading systems, GDPR compliance, renewable energy platforms.

Asia Pacific

~$220M

Australia, Singapore, China operations. Growing low carbon investments, LNG digitalization.

Middle East & Africa

~$150M

Upstream operations, joint ventures, remote site connectivity, harsh environment technology.

Table 5 Regional IT Spending Distribution

Region	Estimated IT Spend	% of Total	Key Technology Focus Areas
Americas	$450M	32%	Cloud migration, bpx digitalization, retail tech
Europe	$380M	27%	HQ systems, trading platforms, compliance
Asia Pacific	$220M	16%	LNG digitalization, renewables, analytics
Middle East & Africa	$150M	11%	Upstream OT, remote operations, JV systems
Global/Corporate	$200M	14%	Shared services, cybersecurity, innovation

4.4 Cloud Transformation Program

BP undertook a massive digital transformation initiative from 2017-2020, migrating over **900 applications** to the cloud in a program valued at approximately **$240 million**. This initiative created a flexible, secure, and cost-efficient technology foundation that has become critical to BP's operational resilience and digital strategy.

> **Cloud Transformation Investment Breakdown**
>
> - **Initial Infrastructure Investment:** $65 million
> - **Migration Costs (3 years):** $120 million
> - **Training & Upskilling:** $15 million
> - **Third-Party Implementation Partners:** $40 million
> - **Total Program Investment:** $240 million

Multi-Cloud Strategy: BP employs a strategic multi-cloud approach to avoid vendor lock-in and optimize workload placement:

- **Microsoft Azure:** Primary cloud platform for enterprise applications and productivity
- **Amazon Web Services (AWS):** Specialized workloads requiring specific services
- **Google Cloud Platform:** Advanced analytics and AI/ML implementations
- **VMware Cloud Foundation:** Hybrid cloud capabilities for legacy system transition

Transformation Benefits Realized:

- **$90 million** annual infrastructure cost reduction (35% savings)
- Server provisioning time reduced from **weeks to hours**
- Infrastructure availability increased to **99.99%** (up from 98.5%)
- **60%** reduction in security incidents
- **40%** improved application performance
- Carbon footprint reduction of approximately **30%** for IT operations
- Enhanced disaster recovery with **85% faster** recovery times

- ROI achieved within **2.5 years** of project completion

5. Operational Performance

BP delivered strong operational performance across its key business segments in 2024, with technology playing an increasingly important role in driving efficiency and reliability.

Table 6 BP Key Operational Metrics 2024

Metric	2024	2023	Performance
Upstream Production (mmboe/d)	2.4	2.3	+4.3%
BP-Operated Plant Reliability	95.2%	95.0%	+0.2pp
Strategic Convenience Sites	2,950	2,850	+3.5%
Upstream Unit Production Costs ($/boe)	$6.17	$5.78	+6.7%
Retail Sites	21,200	21,100	+0.5%

BP achieved **38 Tier 1 and 2 process safety events** in 2024, a significant improvement from 99 events in 2023, demonstrating the effectiveness of its safety management systems and digital monitoring capabilities.

Digital Innovation Applications:

- **Seismic Imaging:** Advanced algorithms processing seismic data faster and more accurately
- **Reservoir Simulation:** High-performance computing optimizing field development planning
- **Predictive Maintenance:** IoT sensors and machine learning reducing unplanned downtime
- **Supply Chain Optimization:** AI-driven logistics and inventory management
- **Trading Analytics:** Real-time market data analysis and algorithmic trading

6. Strategic Outlook & Recommendations

BP is well-positioned to navigate the energy transition while delivering sustainable shareholder returns. The company's strategic reset, combined with disciplined capital allocation and technology-enabled operational improvements, provides a solid foundation for long-term value creation.

> **2025 Guidance & Targets**
>
> - **Capital Expenditure:** Around $15 billion (down from $16.2B in 2024)
> - **ROACE Target:** >16% by 2027
> - **Adjusted Free Cash Flow CAGR:** >20% (2024-2027)
> - **Net Debt Target:** $14-18 billion by end 2027
> - **Scope 1&2 Emissions Reduction:** 45-50% by 2030 (vs 2019 baseline)

Strategic Recommendations:

1. **Accelerate Cloud Adoption:** Complete migration of remaining 60% on-premises infrastructure to capture additional cost savings and operational flexibility
2. **Expand Digital Twin Implementation:** Deploy digital twin technology across major assets to optimize performance and reduce maintenance costs
3. **Enhance Cybersecurity Investment:** Continue strengthening OT security as operational systems become increasingly connected
4. **Scale AI/ML Capabilities:** Expand artificial intelligence and machine learning applications in exploration, production optimization, and trading
5. **Develop Low-Carbon Technology Platforms:** Invest in digital platforms supporting hydrogen, carbon capture, and renewable energy businesses

BP's integrated approach to technology investment, combining infrastructure modernization with strategic capability building, positions the company to capitalize on

opportunities across the energy transition while maintaining operational excellence in its core businesses.

Sources: BP Annual Report and Form 20-F 2024; BP Fourth Quarter 2024 Results; BP Digital Transformation Presentation; Industry Analysis

Analysis Date: January 2026